The decision: fuel support and livelihoods

One-page scenario | Emerging Markets Analysis | 45-minute classroom pilot | Version 2.0

Your challenge

Negotiate a policy package that funds public needs while considering fuel affordability, viable businesses and household living standards. You will change stakeholder roles and reconsider the same problem.

This is an Indonesia-inspired classroom exercise. All numbers, household and firm counts, examples and response coefficients are synthetic. No historical dataset is used. Real policy discussions motivate the topic; this simulator does not reproduce or predict them. You may question any assumption. If you know how real policy differs, you may say so as your own view. Nobody has to speak for a country or share personal experience.

The shared starting situation

Annual government revenue is Rp2,500 trillion (T). Spending is Rp3,000T, including Rp400T of fuel support and existing interest. The unadjusted deficit is Rp500T. A fiscal rule caps new borrowing at Rp400T (2% of a synthetic GDP of Rp20,000T). The model has 70 million households (20 million receive assistance, 50 million do not) and 5 million firms.

The dashboard opens with an illustrative package: extra tax revenue Rp50T; fuel-support reduction 25%; extra household assistance Rp60T; new borrowing Rp400T. This package has a Rp410T deficit and a Rp10T financing shortfall, so someone must change something.

Your four controls

1. **Additional tax revenue:** Rp0 to 200T a year. More revenue. In this model 60% falls on households and 40% on firms.
2. **Fuel-subsidy reduction:** 0 to 80% of the Rp400T support budget. Savings reduce spending; fuel prices rise under an invented response assumption.
3. **Additional household assistance:** Rp0 to 240T a year, shared across 20 million recipient households. Other households get none.
4. **New borrowing:** Rp0 to 400T a year (the fiscal ceiling). Borrowing finances a deficit; it is not revenue. Assumed future annual interest is 7%.

What to do

Read your role. Explore a package and explain a benefit, a cost and an uncertain assumption. Save one attempt. Switch roles, return the controls to the starting package (the round number advances), and reconsider. Save a second attempt. Then mark your preferred package as final and copy or download your record. At the end your table agrees one package and writes it on the table slip.

Saving on the page does not send your work to your teacher. Copy or download your record and submit it as instructed. No names or sensitive personal experiences are needed.

Context references, not sources for the synthetic numbers: World Bank (2024), Indonesia's Fuel Subsidies Reforms. IMF (June 14, 2024), Indonesia Article IV mission assessment. Links are in the dashboard. There is no single best package: justify trade-offs and question assumptions.